

Rasan: The Insurtech Platform — Turning Insurance Brokerage into SaaS-Like Margins

Key Facts

Company	Rasan Information Technology Company (رسن)
Industry	Insurtech / Digital Insurance Marketplace
Founded	2016 — Riyadh, Saudi Arabia
Listing	Tadawul (ticker 8313)
Key Figures	Revenue grew 82% year-on-year; net profit margin ~41.2% — margins normally associated with software, not insurance brokerage
Case Focus	How a digital insurance broker transformed a low-margin, commission-based industry into a high-margin platform business
Teaching Objective	Analyze the economics of "asset-light" platform businesses and how digital distribution creates operating leverage in a regulated industry

Executive Summary

Insurance brokerage has historically been a people business: agents, phone calls, paperwork, and thin commissions. It is the classic low-margin, relationship-driven industry that technology companies were supposed to disrupt. Rasan — the Saudi insurtech behind the Tameeni (تأميني) platform — did exactly that, and the results redefined what an insurance intermediary can look like economically.

Rasan's core insight was that insurance in Saudi Arabia was being transformed by regulation and digitalization. Mandatory motor insurance created a massive, standardized, recurring demand. Instead of a human agent selling one policy at a time, Rasan built a digital marketplace where customers compare and buy policies directly, and where insurers compete for distribution. The result is a business with an 82% revenue growth rate and a net profit margin of roughly 41% — figures that resemble a software company more than a traditional broker.

The secret is asset-light operating leverage. Once the platform is built, each additional policy sold costs almost nothing to serve. There is no underwriting risk (Rasan does not carry the insurance risk — insurers do), no branch network, and no large sales force. Revenue scales with volume while costs stay roughly flat, which is the exact recipe for margin expansion. This case examines how digital distribution reshapes the economics of a regulated industry, and whether those margins are defensible as incumbents and global players respond.

Background and History

Rasan was founded in 2016 by a team that saw two converging forces: Saudi Arabia's mandatory motor insurance market (one of the region's largest) and the Kingdom's accelerating digital transformation under Vision 2030. The company built Tameeni, a consumer-facing insurance marketplace that digitized the entire purchase journey — comparison, quotation, binding, and policy issuance — often in minutes rather than days.

What made the model powerful was its position between customers and insurers. Insurers needed distribution; customers needed transparency and speed. Rasan captured both sides of the marketplace. Its technology reduced friction so dramatically that it became the default channel for a large share of motor insurance purchases, while its data on customer behavior gave it pricing and product intelligence that insurers valued. By the time of its listing, Rasan had demonstrated a rare combination: hypergrowth with genuine profitability.

The strategic tension is now the classic platform question. As Rasan expands into new insurance lines (health, travel, SME) and new markets, it must decide how far to stretch its asset-light model. Each new vertical adds complexity and potentially margin dilution, but also deepens the moat of a network that becomes more valuable with every additional insurer and customer.

Metric	Traditional Broker	Rasan (Insurtech)
Distribution	Human agents, branches	Digital marketplace
Underwriting risk	None (broker)	None (broker)
Marginal cost per policy	High (human time)	Near zero (software)
Growth model	Hire more agents	Scale the platform

Discussion Questions

1. Operating Leverage

- Why does an asset-light platform generate higher margins than a traditional broker, even in the same revenue line?
- Where exactly does the 41% margin come from? Identify the cost structure differences.

2. Moat and Defensibility

- Can a large insurer simply build its own direct-to-consumer platform and cut out Rasan?

- What is the network effect here — does it favor Rasan or the insurers?

3. Regulation

- How does regulation (SAMA, mandatory insurance) simultaneously enable and constrain Rasan's model?
- What happens to the model if a regulator caps commissions?